# Second Quarter 2013 Earnings Call

July 24, 2013

# Overview

**SALLI SCHWARTZ**
GLOBAL HEAD OF INVESTOR RELATIONS

# Agenda

**1. Second Quarter 2013 Results**
Raymond McDaniel, President and Chief Executive Officer

**2. Financial and Operating Highlights**
Linda Huber, Executive Vice President and Chief Financial Officer

**3. Regulatory Developments**
Raymond McDaniel, President and Chief Executive Officer

**4. 2013 Outlook**
Raymond McDaniel, President and Chief Executive Officer

**5. Q&A**
Raymond McDaniel, President and Chief Executive Officer
Linda Huber, Executive Vice President and Chief Financial Officer
Michel Madelain, President and Chief Operating Officer, Moody's Investors Service
Mark Almeida, President, Moody's Analytics

# Disclaimer

Certain statements contained in this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Moody's outlook for 2013 and other forward-looking statements in this release are made as of July 24, 2013, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to, the current world-wide credit market disruptions and economic slowdown, which is affecting and could continue to affect the volume of debt and other securities issued in domestic and/or global capital markets; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including credit quality concerns, changes in interest rates and other volatility in the financial markets; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government initiatives to respond to the economic slowdown; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations, including provisions in the Dodd-Frank Wall Street Reform and Consumer Protection Act and anticipated regulations resulting from the law; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation to which the Company may be subject from time to time; provisions in the Dodd-Frank Act legislation modifying the pleading standards, and EU regulations modifying the liability standards, applicable to credit rating agencies in a manner adverse to rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services; the possible loss of key employees; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the outcome of those legacy tax matters and legal contingencies that relate to the Company, its predecessors and their affiliated companies for which Moody's has assumed portions of the financial responsibility; the ability of the Company to successfully integrate acquired businesses; currency and foreign exchange volatility; a decline in the demand for credit risk management tools by financial institutions; and other risk factors as discussed in the Company's annual report on Form 10-K for the year ended December 31, 2012 and in other filings made by the Company from time to time with the Securities and Exchange Commission.

# 1. Second Quarter 2013 Results

**RAYMOND MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## Moody's Corporation

| | |
|---|---|
| » Revenue | ↑ 18% to $756 million |
| » Expenses | ↑ 12% to $405 million |
| » Operating Income | ↑ 26% to $351 million |
| » Adjusted Operating Income | ↑ 24% to $374 million |
| » Reported EPS | ↑ 32% to $1.00 |

# Year-to-Date 2013 Performance and Comparison to Year-to-Date 2012

## Moody's Corporation

- Revenue — ↑ 16% to $1.5 billion
  - MIS — ↑ 18% to $1.1 billion
  - MA — ↑ 9% to $429 million
- Expense — ↑ 16% to $857 million (includes 1Q litigation settlement charge)
- Operating Income — ↑ 15% to $631 million (includes 1Q litigation settlement charge)
- Adjusted Operated Income — ↑ 14% to $678 million (includes 1Q litigation settlement charge)
- GAAP EPS — ↑ 20% to $1.83 (includes1Q litigation settlement charge)
- Non-GAAP EPS — ↑ 30% to $1.97 (excludes1Q litigation settlement charge)

# 2. Financial and Operating Highlights

**LINDA HUBER**
EXECUTIVE VICE PRESIDENT AND CHIEF FINANCIAL OFFICER

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## Moody's Corporation Revenue

| | |
|---|---|
| » Total Global | ↑ 18% at $756 million |
| » U.S. | ↑ 18% to $408 million |
| » Non-U.S. | ↑ 18% to $348 million<br>• 46% of Total Global |
| » Recurring Revenue | ↑ 7% to $362 million<br>• 48% of Total Global |

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## MIS Revenue by Geography

| | |
|---|---|
| » Total MIS | ↑ 22% to $537 million |
| » U.S. | ↑ 21% to $313 million |
| » Non-U.S. | ↑ 22% to $224 million<br>• 42% of Total MIS |

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## MIS Revenue by Line of Business

- Corporate Finance: $263 million
  - Global ↑ 37%
  - U.S. ↑ 28%
  - Non-U.S. ↑ 52%

- Structured Finance: $97 million
  - Global ↑ 7%
  - U.S. ↑ 29%
  - Non-U.S. ↓ 17%

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## MIS Revenue by Line of Business

- Financial Institutions: $85 million

| | | |
|---|---|---|
| – Global | ↑ | 9% |
| – U.S. | ↑ | 9% |
| – Non-U.S. | ↑ | 8% |

- Public, Project & Infrastructure Finance: $93 million

| | | |
|---|---|---|
| – Global | ↑ | 14% |
| – U.S. | ↑ | 8% |
| – Non-U.S. | ↑ | 31% |

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## MA Revenue by Geography

| | |
|---|---|
| » Total MA | ↑ 10% to $219 million (entirely organic as we have not made any acquisitions in the past year) |
| » U.S. | ↑ 8% to $95 million |
| » Non-U.S. | ↑ 11% to $124 million<br>• 56% of Total MA |

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## MA Revenue by Line of Business

» Research, Data and Analytics: $130 million

| | | |
|---|---|---|
| – Global | ↑ | 7% |
| – Customer retention rate | | mid-90's percent range |
| – U.S. | ↑ | 6% |
| – Non-U.S. | ↑ | 9% |

» Enterprise Risk Solutions: $60 million

| | | |
|---|---|---|
| – Global | ↑ | 17% |
| – U.S. | ↑ | 12% |
| – Non-U.S. | ↑ | 19% |

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## MA Revenue by Line of Business

- Subscription Revenue (inclusive of MA's research, data and analytics business plus certain products within MA's enterprise risk solutions business)
  - Global ↑ 10%
- Professional Services: $28 million
  - Global ↑ 7%
  - U.S. ↑ 23%
  - Non-U.S. ↑ 3%

# Second Quarter 2013 Results and Comparison to Second Quarter 2012

## Moody's Corporation

| | |
|---|---|
| » Total Expenses | ↑ 12% to $405 million |
| » Operating Margin | • 46.4%<br>– up from 43.5% in 2Q12 |
| » Adjusted Operating Margin | • 49.5%<br>– up from 46.9% in 2Q12 |
| » Effective Tax Rate | • 32.2%<br>– down from 33.6% in 2Q12 |

# Capital Allocation and Balance Sheet

» During 2Q13, repurchased 4.1 million shares at a total cost of $259 million and issued 1.7 million shares under employee stock-based compensation plans

» Shares outstanding totaled 220.4 million at June 30, 2013

  – Decreased 1% from June 30, 2012

» $1.3 billion of share repurchase authority remaining as of June 30, 2013

» At June 30, 2013, Moody's had:

  – $1.6 billion of outstanding debt
  – $1.0 billion of additional debt capacity under credit facility
  – Cash and cash equivalents of $1.6 billion, approximately 61% of which were maintained outside the U.S.

» Free cash flow of $351 million in 1H13 increased by $137 million from a year ago

# 3. Regulatory Developments

**RAYMOND MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# Regulatory Developments

United States: *(the following developments are related to the Dodd-Frank Act)*

» On May 14th, the SEC hosted a roundtable on the various proposals made in its study related to assigning credit ratings for structured finance products, commonly referred to as the Franken Amendment study

European Union:

» CRA3 was adopted earlier in the spring of 2013 and went into force on June 20th

# 4. 2013 Outlook

**RAYMOND MCDANIEL**
PRESIDENT AND CHIEF EXECUTIVE OFFICER

# MCO 2013 Full-Year Financial Outlook

| | |
|---|---|
| » Revenue | ↑ high-single-digit % range |
| » Expenses | ↑ mid-single-digit % range<br>(includes 1Q litigation settlement charge) |
| » Operating Margin | • Between 41% and 42%<br>(includes 1Q litigation settlement charge) |
| » Adjusted Operating Margin | • Between 44% and 45%<br>(includes 1Q litigation settlement charge) |
| » Effective Tax Rate | • Approximately 32% |
| » Non-GAAP EPS | • \$3.49 to \$3.59<br>(excludes 1Q litigation settlement charge) |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for a full review of guidance

# MCO 2013 Full-Year Financial Outlook (continued)

| | |
|---|---|
| » Annualized Dividend | • $1.00 per share (up 25%) |
| »Share Repurchase | • Approximately $1 billion (subject to available cash, market conditions, and other ongoing capital allocation decisions) |
| » Capital Expenditures | • Approximately $50 million |
| » Depreciation and Amortization | • Approximately $100 million |
| » MCO Incremental Compliance and Regulatory Expense | • Approximately $10-15 million |
| » Free Cash Flow | • Approximately $850 million |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for a full review of guidance

# MIS 2013 Full-Year Financial Outlook

| | |
|---|---|
| » Global | ↑ high-single-digit % range |
| » U.S. | ↑ high-single-digit % range |
| » Non-U.S. | ↑ high-single-digit % range |
| » Corporate Finance | ↑ low-teens % range |
| » Structured Finance | ↓ low-single-digit % range |
| » Financial Institutions | ↑ low-single-digit % range |
| » Public, Project & Infrastructure | ↑ low-double-digit % range |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for a full review of guidance

# MA 2013 Full-Year Financial Outlook

| | |
|---|---|
| » Global | ↑ high-single-digit % range |
| » U.S. | ↑ low-double-digit % range |
| » Non-U.S. | ↑ mid-single-digit % range |
| » Research, Data & Analytics | ↑ high-single-digit % range |
| » Enterprise Risk Solutions | ↑ low-double-digit % range |
| » Professional Services | ↑ high-single-digit % range |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for a full review of guidance

# 5. Q&A Session

» Raymond McDaniel

President and Chief Executive Officer, Moody's Corporation

» Linda Huber

Executive Vice President and Chief Financial Officer, Moody's Corporation

» Michel Madelain

President and Chief Operating Officer, Moody's Investors Service

» Mark Almeida

President, Moody's Analytics

# Replay Details

» Available from 3:30pm (Eastern Time) July 24, 2013 until 3:30pm (Eastern Time) August 23, 2013

» Telephone Details:

- U.S. 1-888-203-1112
- Non-U.S. +1-719-457-0820
- Passcode 4094394

» Webcast Details:

- Go to http://ir.moodys.com
- Click on "Events & Presentations" featured on the left
- Click on the link for "2Q 2013 Earnings Conference Call"

# Appendix

# Consolidated Statements of Operations (Unaudited)

| Amounts in millions, except per share amounts | Three Months Ended June 30, 2013 | Three Months Ended June 30, 2012 | Six Months Ended June 30, 2013 | Six Months Ended June 30, 2012 |
|---|---|---|---|---|
| Revenue | $ 756.0 | $ 640.8 | $ 1,487.8 | $ 1,287.6 |
| Expenses: | | | | |
| Operating | 197.1 | 180.6 | 397.9 | 366.1 |
| Selling, general and administrative | 185.0 | 159.6 | 412.0 | 328.4 |
| Depreciation and amortization | 23.1 | 22.1 | 46.7 | 45.6 |
| Total expenses | 405.2 | 362.3 | 856.6 | 740.1 |
| Operating income | 350.8 | 278.5 | 631.2 | 547.5 |
| Non-operating (expense) income, net | | | | |
| Interest (expense) income, net | (21.7) | (16.6) | (43.7) | (26.9) |
| Other non-operating (expense) income, net | 7.7 | 2.7 | 16.5 | 2.6 |
| Total non-operating (expense) income, net | (14.0) | (13.9) | (27.2) | (24.3) |
| Income before provision for income taxes | 336.8 | 264.6 | 604.0 | 523.2 |
| Provision for income taxes | 108.4 | 88.9 | 184.5 | 172.0 |
| Net income | 228.4 | 175.7 | 419.5 | 351.2 |
| Less: net income attributable to noncontrolling interests | 2.9 | 3.2 | 5.6 | 5.2 |
| Net income attributable to Moody's Corporation | $ 225.5 | $ 172.5 | $ 413.9 | $ 346.0 |

| | 2013 (Three Months) | 2012 (Three Months) | 2013 (Six Months) | 2012 (Six Months) |
|---|---|---|---|---|
| Earnings per share attributable to Moody's common shareholders | | | | |
| Basic | $ 1.01 | $ 0.77 | $ 1.86 | $ 1.55 |
| Diluted | $ 1.00 | $ 0.76 | $ 1.83 | $ 1.52 |
| Weighted average number of shares outstanding | | | | |
| Basic | 222.3 | 223.9 | 222.8 | 223.7 |
| Diluted | 226.2 | 227.2 | 226.7 | 227.3 |

# Supplemental Revenue Information
# (Unaudited)

| Amounts in millions | Three Months Ended June 30, 2013 | Three Months Ended June 30, 2012 | Six Months Ended June 30, 2013 | Six Months Ended June 30, 2012 |
|---|---|---|---|---|
| **Moody's Investors Service** | | | | |
| Corporate Finance | $ 262.9 | $ 191.5 | $ 521.2 | $ 392.0 |
| Structured Finance | 97.2 | 90.7 | 190.2 | 185.0 |
| Financial Institutions | 84.5 | 77.8 | 171.0 | 156.6 |
| Public, Project and Infrastructure Finance | 92.7 | 81.2 | 176.1 | 160.3 |
| Intersegment royalty | 19.0 | 17.5 | 37.9 | 34.6 |
| Sub-total MIS | 556.3 | 458.7 | 1,096.4 | 928.5 |
| Eliminations | (19.0) | (17.5) | (37.9) | (34.6) |
| Total MIS revenue | 537.3 | 441.2 | 1,058.5 | 893.9 |
| **Moody's Analytics** | | | | |
| Research, Data and Analytics | 130.3 | 121.8 | 259.9 | 241.6 |
| Enterprise Risk Solutions | 60.2 | 51.5 | 113.2 | 99.6 |
| Professional Services | 28.2 | 26.3 | 56.2 | 52.5 |
| Intersegment revenue | 2.7 | 2.9 | 5.5 | 5.9 |
| Sub-total MA | 221.4 | 202.5 | 434.8 | 399.6 |
| Eliminations | (2.7) | (2.9) | (5.5) | (5.9) |
| Total MA revenue | 218.7 | 199.6 | 429.3 | 393.7 |
| **Total Moody's Corporation revenue** | **$ 756.0** | **$ 640.8** | **$ 1,487.8** | **$ 1,287.6** |
| **Moody's Corporation revenue by geographic area** | | | | |
| United States | $ 408.4 | $ 346.1 | $ 818.3 | $ 691.2 |
| International | 347.6 | 294.7 | 669.5 | 596.4 |
| | **$ 756.0** | **$ 640.8** | **$ 1,487.8** | **$ 1,287.6** |

# Non-Operating (Expense) Income, Net

| *Amounts in millions* | Three Months Ended June 30, 2013 | Three Months Ended June 30, 2012 | Six Months Ended June 30, 2013 | Six Months Ended June 30, 2012 |
|---|---|---|---|---|
| **Interest (expense) / income, net:** | | | | |
| Expense on borrowings | $ (20.5) | $ (16.4) | $ (41.5) | $ (32.8) |
| Income | 1.2 | 1.2 | 2.4 | 2.5 |
| UTPs and other tax related liabilities [(a)] | (2.4) | (1.5) | (4.6) | 3.5 |
| Capitalized | - | 0.1 | - | (0.1) |
| Total interest (expense) income, net | $ (21.7) | $ (16.6) | $ (43.7) | $ (26.9) |
| **Other non-operating (expense) income, net:** | | | | |
| FX gain/(loss) | $ 5.3 | $ 0.3 | $ 12.7 | $ (1.2) |
| Joint venture income | 3.2 | 2.6 | 4.9 | 4.6 |
| Other | (0.8) | (0.2) | (1.1) | (0.8) |
| Other non-operating income (expense), net | 7.7 | 2.7 | 16.5 | 2.6 |
| **Total non-operating income (expense), net** | $ (14.0) | $ (13.9) | $ (27.2) | $ (24.3) |

[(a)]The six months ended June 30, 2012 amount contains a benefit of approximately $7 million related to the settlement of state and local tax audits

# Selected Consolidated Balance Sheet Data (Unaudited)

| *Amounts in millions* | | June 30, 2013 | | December 31, 2012 |
|---|---|---|---|---|
| Cash and cash equivalents | $ | 1,633.0 | $ | 1,755.4 |
| Short-term investments | | 17.9 | | 17.9 |
| Total current assets | | 2,442.7 | | 2,525.7 |
| Non-current assets | | 1,351.6 | | 1,435.2 |
| Total assets | | 3,794.3 | | 3,960.9 |
| Total current liabilities | | 897.1 | | 1,164.9 |
| Total debt [1] | | 1,605.0 | | 1,671.2 |
| Other long-term liabilities | | 756.7 | | 719.7 |
| Total shareholders' equity | | 456.8 | | 396.6 |
| Redeemable noncontrolling interest* | | 78.7 | | 72.3 |
| Total liabilities, redeemable noncontrolling interest and shareholders' equity | | 3,794.3 | | 3,960.9 |
| Actual number of shares outstanding | | 220.4 | | 223.3 |

* Represents a noncontrolling interest related to the November 2011 acquisition of Copal Partners

| [1] Total debt consists of the following: | | June 30, 2013 | | December 31, 2012 |
|---|---|---|---|---|
| Series 2005-1 Notes due 2015[a] | $ | 311.0 | $ | 313.8 |
| Series 2007-1 Notes due 2017 | | 300.0 | | 300.0 |
| 2008 Term Loan due 2013 [b] | | - | | 63.8 |
| 2010 Senior Notes due 2020 [c] | | 497.6 | | 497.4 |
| 2012 Senior Notes due 2022 [d] | | 496.4 | | 496.2 |
| Total debt [e] | $ | 1,605.0 | $ | 1,671.2 |

[a] Includes an $11.0 million and $13.8 million fair value adjustment on an interest rate hedge at June 30, 2013 and December 31, 2012, respectively

[b] Final payment made in Q2 2013

[c] Represents $500 million of 5.5% publicly traded Senior Notes which mature on September 1, 2020; the notes were offered to the public at 99.374% of the face amount

[d] Represents $500 million of 4.5% publicly traded Senior Notes which mature on September 1, 2022; the notes were offered to the public at 99.218% of the face amount

[e] Of the total debt shown in the table above, $63.8 million is classified within total current liabilities at December 31, 2012, and consists of borrowings under the 2008 Term Loan

# Financial Information by Segment

The table below presents revenue, adjusted operating income and operating income by reportable segment. The Company defines adjusted operating income as operating income excluding depreciation and amortization.

| | Three Months Ended June 30, | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 2013 | | | | 2012 | | | |
| | MIS | MA | Eliminations | Consolidated | MIS | MA | Eliminations | Consolidated |
| Revenue | $ 556.3 | $ 221.4 | $ (21.7) | $ 756.0 | $ 458.7 | $ 202.5 | $ (20.4) | $ 640.8 |
| Operating, selling, general and administrative | 236.2 | 167.6 | (21.7) | 382.1 | 211.3 | 149.3 | (20.4) | 340.2 |
| Adjusted operating income | 320.1 | 53.8 | - | 373.9 | 247.4 | 53.2 | - | 300.6 |
| Depreciation and amortization | 11.5 | 11.6 | - | 23.1 | 10.7 | 11.4 | - | 22.1 |
| Operating income | $ 308.6 | $ 42.2 | $ - | $ 350.8 | $ 236.7 | $ 41.8 | $ - | $ 278.5 |
| Adjusted operating margin | 57.5% | 24.3% | | 49.5% | 53.9% | 26.3% | | 46.9% |
| Operating margin | 55.5% | 19.1% | | 46.4% | 51.6% | 20.6% | | 43.5% |

| | Six Months Ended June 30, | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | 2013 | | | | 2012 | | | |
| | MIS | MA | Eliminations | Consolidated | MIS | MA | Eliminations | Consolidated |
| Revenue | $ 1,096.4 | $ 434.8 | $ (43.4) | $ 1,487.8 | $ 928.5 | $ 399.6 | $ (40.5) | $ 1,287.6 |
| Operating, selling, general and administrative | 520.5 | 332.8 | (43.4) | 809.9 | 432.4 | 302.6 | (40.5) | 694.5 |
| Adjusted operating income | 575.9 | 102.0 | - | 677.9 | 496.1 | 97.0 | - | 593.1 |
| Depreciation and amortization | 22.8 | 23.9 | - | 46.7 | 21.9 | 23.7 | - | 45.6 |
| Operating income | $ 553.1 | $ 78.1 | $ - | $ 631.2 | $ 474.2 | $ 73.3 | $ - | $ 547.5 |
| Adjusted operating margin | 52.5% | 23.5% | | 45.6% | 53.4% | 24.3% | | 46.1% |
| Operating margin | 50.4% | 18.0% | | 42.4% | 51.1% | 18.3% | | 42.5% |

# Transaction and Relationship Revenue

| | Three Months Ended June 30, | | | | | |
|---|---|---|---|---|---|---|
| | 2013 | | | 2012 | | |
| | Transaction | Relationship | Total | Transaction | Relationship | Total |
| Corporate Finance | 75% | 25% | 100% | 70% | 30% | 100% |
| Structured Finance | 61% | 39% | 100% | 57% | 43% | 100% |
| Financial Institutions | 37% | 63% | 100% | 35% | 65% | 100% |
| Public, Project and Infrastructure Finance | 65% | 35% | 100% | 62% | 38% | 100% |
| **Total MIS** | **65%** | **35%** | **100%** | 60% | 40% | 100% |
| **Moody's Analytics** | **21%** | **79%** | **100%** | 20% | 80% | 100% |
| **Total Moody's Corporation** | **52%** | **48%** | **100%** | 47% | 53% | 100% |

| | Six Months Ended June 30, | | | | | |
|---|---|---|---|---|---|---|
| | 2013 | | | 2012 | | |
| | Transaction | Relationship | Total | Transaction | Relationship | Total |
| Corporate Finance | 76% | 24% | 100% | 72% | 28% | 100% |
| Structured Finance | 60% | 40% | 100% | 57% | 43% | 100% |
| Financial Institutions | 38% | 62% | 100% | 36% | 64% | 100% |
| Public, Project and Infrastructure Finance | 63% | 37% | 100% | 62% | 38% | 100% |
| **Total MIS** | **65%** | **35%** | **100%** | 61% | 39% | 100% |
| **Moody's Analytics** | **20%** | **80%** | **100%** | 20% | 80% | 100% |
| **Total Moody's Corporation** | **52%** | **48%** | **100%** | 48% | 52% | 100% |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for table details

# Non-GAAP Financial Measures

| | | Six Months Ended June 30, 2013 |
|---|---|---|
| Diluted EPS - GAAP | $ | 1.83 |
| Impact of litigation settlement | $ | 0.14 |
| Diluted EPS - Non-GAAP | $ | 1.97 |

| | | Projected full-year ended December 31, 2013 |
|---|---|---|
| Diluted EPS guidance - GAAP | $ | 3.35 - 3.45 |
| Impact of litigation settlement | $ | 0.14 |
| Diluted EPS guidance - Non-GAAP | $ | 3.49 - 3.59 |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for table details

# Adjusted Operating Income and Adjusted Operating Margin

| | Three Months Ended June 30, | | Six Months Ended June 30, | |
|---|---|---|---|---|
| | 2013 | 2012 | 2013 | 2012 |
| Operating income | $ 350.8 | $ 278.5 | $ 631.2 | $ 547.5 |
| Depreciation & amortization | 23.1 | 22.1 | 46.7 | 45.6 |
| Adjusted operating income | $ 373.9 | $ 300.6 | $ 677.9 | $ 593.1 |
| Operating margin | 46.4% | 43.5% | 42.4% | 42.5% |
| Adjusted operating margin | 49.5% | 46.9% | 45.6% | 46.1% |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for table details

# Free Cash Flow

| | Six Months Ended June 30, 2013 | 2012 |
|---|---|---|
| Net cash flows from operating activities | $ 369.1 | $ 235.5 |
| Capital additions | (18.1) | (21.9) |
| Free cash flow | $ 351.0 | $ 213.6 |
| Net cash used in investing activities | $ (19.0) | $ (25.9) |
| Net cash used in financing activities | $ (426.2) | $ (142.5) |

Refer to "Moody's Corporation Reports Results for Second Quarter 2013" press release for table details

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